



that investment and delivering the growth we promised to our shareholders.

Startups are also doing some amazing work with respect to R&D and product development and design. Has Cyient considered acquiring any Indian startups?

Absolutely, if there is a startup with a cool idea and intellectual property (IP), that would be of great interest to us because it could accelerate our journey toward creating our own products. However, the challenge with most startups today is that they are often at a conceptual stage or in very early phases where the technology is yet to be proven.

Where we are operating today involves commercial aerospace and applications that are already established, so the time to market needs to be much shorter. With startups, that journey can be a bit longer. That said, we are not overlooking the opportunities in this space. There could be many startups with excellent ideas, and we would be very happy to partner with them or even consider them as potential acquisition targets.

How does the company balance its financial stability with all these aggressive mergers and acquisitions?

We did an IPO about two years ago, and raised funds specifically for this purpose. There are two significant funding requirements in this industry. One is inorganic, related to making acquisitions, and the second is working capital. Working capital is a bit of a challenge in this industry. You have to manage inventory, receivables, and other related aspects, which consume a lot of cash. The more you grow, the higher the demand for working capital. With the hyper-growth phase we are currently experiencing in the industry, this

becomes even more of a challenge.

We raised funds during the IPO, which is why we have been able to address some of these needs. However, as we consume the funds raised through the IPO, we also need to improve operational efficiency in managing our working capital. This ensures that growth remains manageable and doesn't become unsustainable or difficult to fund.

Every company has its own strategy. In addition to the funds we've raised, there are also several working capital lines available from banks and other short-term financing options that we can leverage as needed.

What kind of operational and supply chain challenges does the EMS division face?

Managing the supply chain especially with low volume manufacturing is a challenge. There are several parts where the MOQ (minimum order quantity) is high and you need to use a lesser number for a product and the leftover components sit on the shelf till we find the demand for it again. These are practical challenges that every EMS company faces, and we are no different.

There are additional challenges such as customers pushing out demand, leaving us holding inventory for longer than expected. To address this, we ensure we have contractual protections in place to limit our inventory obligations to manageable levels.

EMS shares have shown significant growth over time, despite occasional dips. From a long-term perspective, the trend has been steadily upward. How do you see this growth being sustained in the future, and what potential risks should investors be aware of when investing in this segment?

I think the valuation of all EMS companies is a bit stretched right

now because the market is already factoring in the next 2-3 years of growth and building that expectation into the prices. It's almost a given that everyone will grow by 30-40%, with some companies even exceeding that growth rate. So, if that growth doesn't sustain, it will inevitably reflect in the share prices.

That said, the tailwinds in this industry are quite significant. The optimism around growth and share prices is supported by the track record of companies consistently delivering on that growth. The growth we've witnessed so far has been unprecedented—I don't know of any other industry that has grown this much, this quickly.

The EMS space will continue to be very exciting, but it is undoubtedly a high-risk, high-reward scenario at the moment.

How do you foresee the evolution of Cyient DLM along with the EMS industry in the coming months in the wake of these acquisitions?

Over the next few months, we will be focused on integrating Altek and realising the synergy benefits of this acquisition. Secondly, our India sales team is now well staffed, and the team is actively building a strong sales pipeline, particularly for the Indian market.

It's an exciting time for the electronic manufacturing services (EMS) industry in India, especially with strong government support. The incentives from the government and the competition among state governments are particularly refreshing. States like Karnataka, Telangana, and Andhra Pradesh are actively competing to offer the best possible benefits, such as land and subsidised power, to attract businesses. Entrepreneurs no longer have to run from office to office for approvals. Instead, states are inviting and competing for investments. **EFY**